

more likely than cancer without a cause attached to it—an unspecified cause means no cause at all.

I return to the example of E. M. Forster’s plot from earlier in this chapter, but seen from the standpoint of probability. Which of these two statements seems more likely?

*Joey seemed happily married. He killed his wife.*

*Joey seemed happily married. He killed his wife to get her inheritance.*

Clearly the second statement seems more likely at first blush, which is a pure mistake of logic, since the first, being broader, can accommodate more causes, such as he killed his wife because he went mad, because she cheated with both the postman and the ski instructor, because he entered a state of delusion and mistook her for a financial forecaster.

All this can lead to pathologies in our decision making. How?

Just imagine that, as shown by Paul Slovic and his collaborators, people are more likely to pay for terrorism insurance than for plain insurance (which covers, among other things, terrorism).

The Black Swans we imagine, discuss, and worry about do not resemble those likely to be Black Swans. We worry about the wrong “improbable” events, as we will see next.

### ***Black Swan Blindness***

The first question about the paradox of the perception of Black Swans is as follows: How is it that *some* Black Swans are overblown in our minds when the topic of this book is that we mainly neglect Black Swans?

The answer is that there are two varieties of rare events: a) the *narrated* Black Swans, those that are present in the current discourse and that you are likely to hear about on television, and b) those nobody talks about, since they escape models—those that you would feel ashamed discussing in public because they do not seem plausible. I can safely say that it is entirely compatible with human nature that the incidences of Black Swans would be overestimated in the first case, but severely underestimated in the second one.

Indeed, lottery buyers overestimate their chances of winning because they visualize such a potent payoff—in fact, they are so blind to the odds that they treat odds of one in a thousand and one in a million almost in the same way.

Much of the empirical research agrees with this pattern of overestimation and underestimation of Black Swans. Kahneman and Tversky initially showed that people overreact to low-probability outcomes *when you discuss the event with them*, when you make them aware of it. If you ask someone,